

EXECUTIVE MEMORANDUM: ENTERPRISE PERSONNEL ATTRITION RISK ANALYSIS

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1. Core Predictive Findings & Context

Every company experiences employee turnover, but losing key contributors at the wrong time heavily burdens the business in hiring, retraining, and lost productivity. Large HR departments spend crores each year trying to figure out who is likely to leave and why *before* it actually happens.

Our latest analysis of historical workforce records reveals an overall organizational resignation rate of **16.12%** (237 departures out of 1,470 total personnel). While a 16.12% baseline turnover rate might appear stable on the surface, a deeper look shows that voluntary exits are heavily concentrated within specific business divisions and specialized roles, rather than distributed evenly across the company.

2. High-Priority Target Sectors

Our data highlights that retention efforts should be immediately prioritized in the following areas:

- **The Sales Department:** This division experiences the highest overall turnover rate at **20.63%**.
- **Sales Representatives:** This specific role represents a critical flight-risk outlier, showing an alarming resignation rate of **39.76%**. Essentially, nearly 2 in 5 individuals in this position choose to leave the organization.
- **Laboratory Technicians:** Located within our Research & Development sector, these specialists also exhibit highly elevated departure rates at **23.94%**.

3. Primary Drivers of Employee Flight Risk

Our predictive model isolated the absolute strongest indicators of an impending resignation. The analysis proves that salary alone does not explain turnover; rather, voluntary exits are driven by a combination of work structures, compensation equity, and lifestyle friction:

Turnover Driver / Catalyst	Statistical Finding	Core HR Impact
Mandatory Overtime Work	Consistent overtime requirements stand out as the single most powerful behavioral trigger for resignation.	Intense burnout correlation; directly impacts employee mental health.
The Compensation Gap	Employees who stay have an average monthly income of \$6,832.74, whereas those who choose to exit have a significantly lower average monthly income of \$4,787.09.	Pay acts as a significant retaining anchor or barrier to exit.
Severe Work-Life Balance Erosion	Employees scoring their work-life balance at the lowest tier (Level 1) experience a massive resignation rate of 31.25%.	Doubles the turnover rate of employees reporting standard or high work-life balance scores.

4. Concrete, Actionable HR Recommendations

To protect business continuity and insulate high-performing teams, we recommend implementing the following two targeted policy changes immediately:

1. **Enforce Mandatory Overtime Caps and Wellness Interventions:** Since overtime is our strongest predictor of resignation, HR should enforce a hard cap on consecutive overtime hours within the Sales Representative and Laboratory Technician workforces. Managers exceeding these thresholds should be automatically flagged for standard wellness check-ins and stay-interviews.
2. **Execute a Mid-Tenure Compensation Equity Adjustment:** Our data shows that departing staff tend to leave relatively early, around the **5.13-year mark** of their tenure (compared to a stable **7.37 years** for retained staff). HR should initiate a targeted compensation review window focusing on high-performing personnel approaching their 3-to-5-year anniversary, proactively correcting pay discrepancies before flight-risk behavior manifests.

5. Operational Model Limitations

This predictive application serves as an early-warning system based entirely on static, historical records. It cannot evaluate human conversational context, shifting micro-dynamics inside

individual teams, sudden changes in local managerial quality, or unexpected outside economic recruitment offers. Consequently, this software must be used as a supplementary tool to guide proactive HR conversations, rather than a standalone automated decision-making filter.